Salary sacrifice cap analysis

Relaxing the cap from £2,000 to £5,000

POLICY ENGINE

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Methodology

This analysis uses the **PolicyEngine UK microsimulation model** to estimate the impact of relaxing the salary sacrifice pension cap from £2,000 (Autumn Budget 2025 current law) to £5,000. For detailed methodology on how we model salary sacrifice, see our research article. The code used to generate these results is also available.

Parameter	Value
Baseline policy	£2,000 cap (Autumn Budget 2025)
Reform policy	£5,000 cap
Analysis years	2029-30 and 2030-31
Model version	PolicyEngine UK v2.72.3
Dataset	Enhanced Family Resources Survey v1.36.2

Budgetary impact

-£1.64 billion

Revenue loss in 2029-30

-£1.67 billion

Revenue loss in 2030-31

Distributional impact by income decile

Average gain per household (£/year) by equivalised household income decile. Each decile represents 10% of the UK population, ranked from lowest income (decile 1) to highest income (decile 10).

2029-30

2030-31

Decile	1	2	3	4	5	6	7	8	9	10
2029-30 (£/hh/yr)	£1	£26	£1	£8	£18	£9	£16	£20	£35	£63
2030-31 (£/hh/yr)	£1	£27	£1	£8	£18	£9	£16	£21	£35	£68
% of people who benefit	0.3%	17.3%	1.3%	8.7%	10.8%	7.8%	6.4%	12.1%	15.9%	22.1%

The reform has no losers. The top decile (highest-earning 10% of people) sees the highest share benefiting (22%) and the largest average gain (£63-68 per household). Across all deciles, approximately 10% of people benefit on average.

Analysis produced by PolicyEngine | policyengine.org

Model: PolicyEngine UK v2.72.3